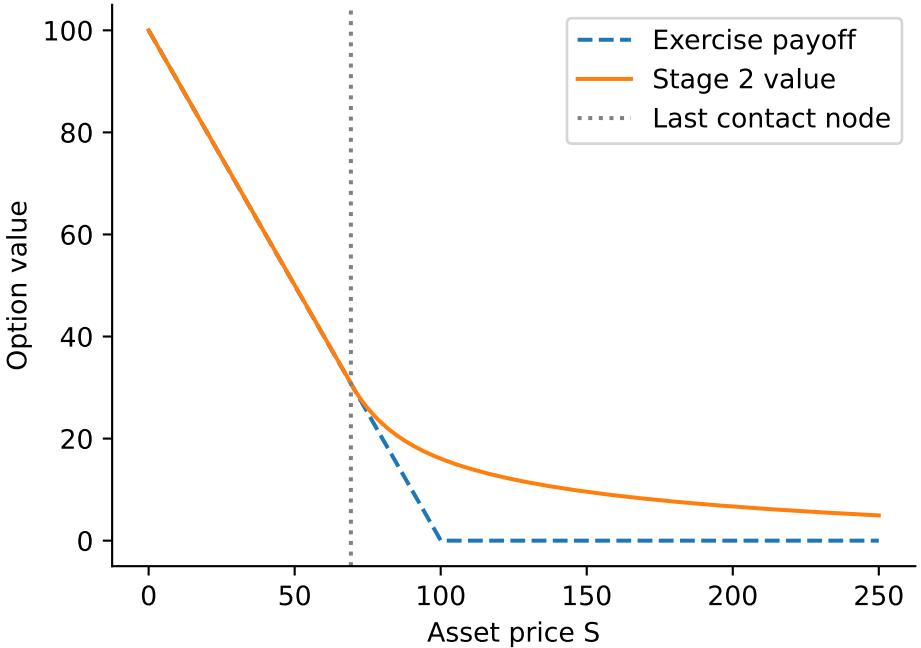
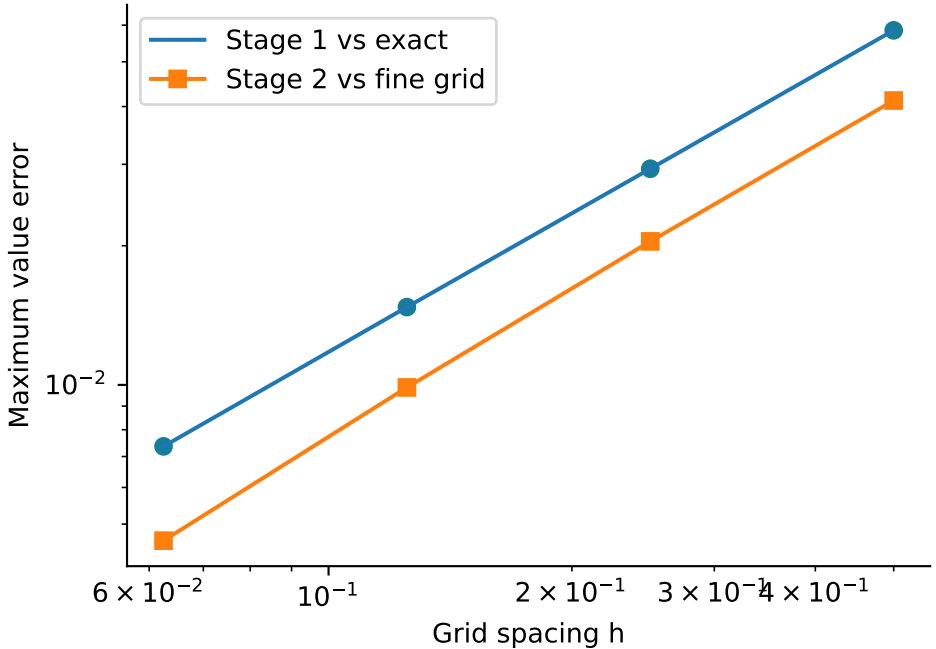

Exercise payoff
Stage 2 value
Last contact node
Option value
Asset price S
0
20
40
60
80
100
0
50
100
150
200
250


Stage 1 vs exact
Stage 2 vs fine grid
Maximum value error
Grid spacing h
10^{-2}
6×10^{-2}
10^{-1}
2×10^{-1}
3×10^{-1}
4×10^{-1}